



MOCK TEST: INDIAN ECONOMY (1950-1990)

Class 12 - Indian Economic Development (NCERT Chapter 2)

PREPARED BY THUNDERSTUDY ✨

Time Allowed	1 Hour 30 Minutes
Maximum Marks	80 Marks

SECTION A – MULTIPLE CHOICE QUESTIONS (30 × 1 = 30 Marks)

- Which economic system was adopted by India after independence?
(A) Capitalism (B) Mixed Economy (C) Pure Socialism (D) Laissez-faire
- Priority of the First Five-Year Plan (1951-56):
(A) Heavy Industry (B) Agriculture (C) Defence (D) IT Sector
- Purpose of Industrial Policy Resolution 1956:
(A) Private Dominance (B) Joint Venture (C) Public Sector Dominance (D) Foreign Control
- Objective of Land Reforms:
(A) Universal Tenancy (B) Ceiling and Redistribution (C) Commercial Farming only (D) Abolition of Irrigation
- Focus of the Green Revolution:
(A) Pulses (B) Wheat and Rice (C) Sugarcane (D) Cotton
- FCI (Food Corporation of India) was set up in:
(A) 1952 (B) 1965 (C) 1975 (D) 1991
- Largest sector contributing to GDP in 1950-51:
(A) Industry (B) Services (C) Agriculture (D) Trade
- "Licence Raj" refers to:
(A) Heavy duties (B) Government permits to start industry (C) Land tax (D) Export subsidy
- MRTP Act was enacted in:
(A) 1956 (B) 1969 (C) 1991 (D) 1982

10. Nationalisation of 14 major banks took place in:

(A) 1947 (B) 1969 (C) 1980 (D) 1951

11. Foreign exchange crisis of early 1990s was caused by:

(A) Excess FDI (B) Fall in reserves/Gulf War (C) High Exports (D) Low Imports

12. Protection to Small-Scale Industries (SSI) was given via:

(A) High taxes (B) Reservation of items (C) Privatisation (D) Deregulation

13. Trade Policy during 1950-1990 was:

(A) Free Trade (B) Import Substitution (C) Export Promotion (D) Globalisation

14. "Hindu Rate of Growth" refers to:

(A) 10% Growth (B) 3.5% Stagnant Growth (C) Negative Growth (D) Industrial Boom

15. Five-Year Plans were based on the model of:

(A) USA (B) Soviet Union/Socialist Planning (C) UK (D) Japan

16. Major source of Foreign Exchange (1950s-70s):

(A) Software (B) Agri-exports (Tea/Spices) (C) Remittances (D) Diamonds

17. Drawback of Import Substitution (ISI):

(A) High competition (B) Technological excellence (C) Inefficiency due to lack of competition
(D) High FDI

18. CPI based inflation in early 1980s:

(A) 2% (B) 5% (C) 8-9% (D) 20%

19. Mahalanobis Model is associated with:

(A) 1st Plan (B) 2nd Plan (C) 5th Plan (D) 10th Plan

20. NABARD was established in:

(A) 1955 (B) 1982 (C) 1991 (D) 2005

21. Karve Committee (1955) was related to:

(A) Banking (B) Small Scale Industry (C) Foreign Trade (D) Population

22. Land Ceiling means:

(A) Fixing min land (B) Fixing max land one can own (C) Selling land (D) Renting land

23. Marketed Surplus refers to:

(A) Total crop produced (B) Portion of produce sold in market after self-consumption (C)
Waste produce (D) Seed storage

24. Buffer stock is maintained by:

(A) RBI (B) FCI (C) SBI (D) SEBI

25. Primary goal of 1950-1990 plans was:

(A) Modernisation (B) Self-reliance (C) Equity (D) All of these

26. Modernisation in plans meant:

(A) Only tech change (B) Change in social outlook (C) Both A and B (D) None

27. Self-reliance aimed to avoid dependence on:

(A) Local goods (B) Foreign imports/food (C) Labour (D) Sunlight

28. SSI limit in 1950's was:

(A) 5 Lakh (B) 1 Crore (C) 10 Crore (D) 1 Lakh

29. Tariff is a:

(A) Subsidy (B) Tax on imports (C) Quota (D) Export reward

30. Quotas specify:

(A) Price of goods (B) Quality of goods (C) Quantity of goods imported (D) Tax percentage

SECTION B – VERY SHORT ANSWER QUESTIONS (10 × 2 = 20 Marks)

31. What are the four main goals of Five-Year Plans?
32. Why was the public sector given leading role in 1950?
33. Define Marketed Surplus.
34. What is 'Import Substitution'?
35. Mention two land reform measures.
36. What were HYV seeds?
37. Explain 'Licence Raj' in one sentence.
38. Why was growth of SSI promoted?
39. What is equity in the context of planning?
40. Define Buffer Stock.

SECTION C & D (SHORT & LONG ANSWERS)

41. Impact of Green Revolution on India's food security. (4M)
42. Why was it necessary to protect Small Scale Industries? (4M)
43. Critical appraisal of Industrial Policy Resolution 1956. (6M)
44. Success and failures of Land Reforms in India. (6M)



ANSWER KEY (CHAPTER 2) - THUNDERSTUDY

1-B	2-B	3-C	4-B	5-B
6-B	7-C	8-B	9-B	10-B
11-B	12-B	13-B	14-B	15-B
16-B	17-C	18-C	19-B	20-B
21-B	22-B	23-B	24-B	25-D
26-C	27-B	28-A	29-B	30-C

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